



United States  
Attorney's Office  
District of New Jersey



# Union City Pharmacy Agrees To Resolve False Claims Act Allegations Of Billing For Drugs Not Dispensed

Friday, April 11, 2025

## For Immediate Release

U.S. Attorney's Office, District of New Jersey

NEWARK, N.J. – People's Rx, Inc., d/b/a The People's Pharmacy Shoppe ("People's"), a pharmacy located in Union City, New Jersey, has agreed to pay \$995,420 to resolve allegations that it violated the False Claims Act by knowingly billing a federal health care program for medications that it never dispensed, U.S. Attorney Alina Habba announced.

According to the contentions of the United States in the settlement agreement:

The United States alleged that, from January 2, 2015, through January 24, 2022, People's caused the submission of claims for reimbursement to the Medicare Part D Program and the New Jersey Medicaid Program for drugs that were never dispensed to beneficiaries. The government contends that inventory records showed that People's did not purchase enough of these medications from wholesalers to fill the prescriptions billed to the federal health care program.

The resolution obtained in this matter was the result of a coordinated effort between the U.S. Attorney's Office for the District of New Jersey and the Justice Department's Civil Division, Commercial Litigation Branch, Fraud Section.

The government is represented by Assistant U.S. Attorneys Robert Toll and Kruti Dharja of the Opioid Abuse Prevention and Enforcement Unit and Senior Trial Counsel Jennifer Cihon in the Civil Division's Commercial Litigation Branch (Fraud Section).

The government's pursuit of these matters illustrates the government's emphasis on combating healthcare fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement can be reported to the Department of Health and Human Services, at 1-800-HHS-TIPS (800-447-8477).

The claims resolved by the settlement are allegations only, and there has been no determination of liability.

###

[peoples\\_pharmacy.agreement.pdf](#)

Updated April 11, 2025

Topics

FALSE CLAIMS ACT

HEALTHCARE FRAUD

Component

[USAO - New Jersey](#)

Press Release Number: 25-097

Related Content

PRESS RELEASE

Operations Manager of Wholesale Drug Distributor Sentenced to 30 Months in Prison for Role in Scheme to Buy Nearly \$50m of Prescription Medications Under False Pretenses and Resell Them for Profit

A North Jersey man was sentenced on July 29, 2026, to 30 months' imprisonment for conspiring with doctors and others to purchase nearly \$50 million worth of oncology and ophthalmology...

August 4, 2026

## PRESS RELEASE

### Founder And Former CEO of New Jersey Based Eye Care Group Charged with Health Care Fraud Conspiracy and Paying Illegal Kickbacks

Charges were brought today against the founder and former CEO of a New Jersey based management company that oversaw an optometry practice and eye surgery center for conspiring to commit...

July 29, 2026

## PRESS RELEASE

### Fashion House Enters Settlement for Receipt of Improper Paycheck Protection Program Loan

A manufacturer and distributor of fashion and leather products with a principal place of business in Mercer County, New Jersey, entered into a settlement agreement with the United States resolving...

July 21, 2026



**District of New Jersey**

Main Office:

